

RegIntel — Compliance Gap Report

Audit of 45 (RBI)

Generated: 26 June 2026, 08:19

Total gaps detected: **49**

#	Risk	Score	Regulator	Circular	Obligation Clause	Deadline	Recommended Remediation Action
1	Critical	85.0	RBI	45	Annual return on Foreign Liabilities and Assets (FLA) ... is required to be submitted by all the Indian-resident entities ... which have outstanding Foreign Direct Investment (FDI) and/ or Overseas Direct Investment (ODI) as on end-March of the previous year, including current year.	as on end-March of the previous year, including current year.	Establish automated or manual data queries, review cycles, and submission templates to send reports to the regulator. Target compliance window: as on end-March of the previous year, including current year.
2	Critical	85.0	RBI	45	Entities are required to furnish the information on outstanding external liabilities and assets as on end-March of previous and latest year.	as on end-March of previous and latest year.	Establish automated or manual data queries, review cycles, and submission templates to send reports to the regulator. Target compliance window: as on end-March of previous and latest year.
3	Critical	85.0	RBI	45	In case if the accounting period of overseas subsidiaries/ joint venture of Indian reporting entity is different from the reference period, then the information for end-March should be given on internal assessment basis.	for end-March	Establish automated or manual data queries, review cycles, and submission templates to send reports to the regulator. Target compliance window: for end-March.
4	Critical	85.0	RBI	45	if the investor holds only CCD as on end March, then it should be reported in item 2.2 of 3, under Portfolio Investment in India (in Section-III).	as on end March	Establish automated or manual data queries, review cycles, and submission templates to send reports to the regulator. Target compliance window: as on end March.
5	Critical	85.0	RBI	45	If the Indian reporting entity is listed then closing share price as on reference period, i.e. end-March of previous and current year should be used for valuation of non-resident equity investment.	as on reference period, i.e. end-March of previous and current year.	Establish automated or manual data queries, review cycles, and submission templates to send reports to the regulator. Target compliance window: as on reference period, i.e. end-March of previous and current year.
6	Critical	80.0	RBI	45	The entities, as mentioned under question 1, are mandatorily required to submit/file FLA return under FEMA 1999 by July 15 of reporting year based on the entity's audited or unaudited financials.	by July 15 of reporting year	Update compliance monitoring calendar and set alert thresholds before the stated deadline. Target compliance window: by July 15 of reporting year.
7	Critical	80.0	RBI	45	If the entity doesn't have audited data on or before due date of July 15, then the entity can submit FLA return on provisional/unaudited basis.	July 15	Update compliance monitoring calendar and set alert thresholds before the stated deadline. Target compliance window: July 15.
8	Critical	75.0	RBI	45	Once the audited financial accounts are ready, the entity is required to raise a request for permission for submission of revised/updated FLA return through the FLAIR portal	as soon as the audited financial statements are available	Establish automated or manual data queries, review cycles, and submission templates to send reports to the regulator. Target compliance window: as soon as the audited financial statements are available.

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9	Critical	75.0	RBI	45	Only annual return on FLA through online web-based reporting portal needs to be submitted within due date.	within due date	Establish automated or manual data queries, review cycles, and submission templates to send reports to the regulator. Target compliance window: within due date.
10	High	72.0	RBI	45	Entities may ensure correctness of the data provided in FLA, and in case of any revision, updated/revised FLA return needs to be filed	—	Establish automated or manual data queries, review cycles, and submission templates to send reports to the regulator.
11	High	72.0	RBI	45	The annual return on Foreign Liabilities and Assets (FLA) is required to be submitted by the following entities which have received FDI (foreign direct investment) and/or made FDI abroad	—	Establish automated or manual data queries, review cycles, and submission templates to send reports to the regulator.
12	High	72.0	RBI	45	They need to fill the excel format and send us the same on flareturn@rbi.org.in.	—	Establish automated or manual data queries, review cycles, and submission templates to send reports to the regulator.
13	High	72.0	RBI	45	Information should be reported for the reference period only, i.e. previous March and latest March, based on the entity's internal assessment.	—	Establish automated or manual data queries, review cycles, and submission templates to send reports to the regulator.
14	High	72.0	RBI	45	Yes, the entity can file the FLA return for any of the previous years, after taking approval from the RBI.	—	Establish automated or manual data queries, review cycles, and submission templates to send reports to the regulator.
15	High	72.0	RBI	45	if the entity has any outstanding foreign direct investment and/or overseas direct investment as on end-March of the reporting year and/ or previous year, then the entity is required to file the FLA return.	—	Establish automated or manual data queries, review cycles, and submission templates to send reports to the regulator.
16	High	72.0	RBI	45	In case shares are issued on repatriable, FLA is required to be submitted.	—	Establish automated or manual data queries, review cycles, and submission templates to send reports to the regulator.
17	High	72.0	RBI	45	If the Indian entity has issued the shares to non-resident entities under the FDI scheme in India, then it should be reported under the Foreign Direct Investment in India (Liabilities), Section III of the return.	—	Establish automated or manual data queries, review cycles, and submission templates to send reports to the regulator.
18	High	72.0	RBI	45	If the non-resident entity holds the 10 per cent or more equity plus participating preference shares together, in the reporting Indian entity, then it should be reported under 1.b FDI of section III.	—	Establish automated or manual data queries, review cycles, and submission templates to send reports to the regulator.
19	High	72.0	RBI	45	However, if non-resident entity holds less than 10 per cent of the equity plus participating preference shares capital of reporting Indian entity, then it should be reported under 2.b DI of section III.	—	Establish automated or manual data queries, review cycles, and submission templates to send reports to the regulator.

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20	High	72.0	RBI	45	If the reporting Indian entity also holds the equity shares in its DI entity abroad and if its shareholding is less than 10 per cent of equity capital of DI entity, then it is called as reverse investment and same should be reported under item 1.2 (claims on direct investor) of the respective blocks, i.e. 1.b FDI and 2.b DI of section III.	—	Establish automated or manual data queries, review cycles, and submission templates to send reports to the regulator.
21	High	72.0	RBI	45	If the reporting Indian entity invests in equity and/or participating preference shares of overseas entity... then it should be reported under Section IV of the FLA return.	—	Establish automated or manual data queries, review cycles, and submission templates to send reports to the regulator.
22	High	72.0	RBI	45	If the Indian entity holds 10 per cent or more equity plus participating preference shares together, in overseas entity, then it should be reported under 1.b ODI	—	Establish automated or manual data queries, review cycles, and submission templates to send reports to the regulator.
23	High	72.0	RBI	45	if the Indian entity holds less than 10 per cent of the equity plus participating preference shares capital of overseas entity, then it should be reported under 2.b DI	—	Establish automated or manual data queries, review cycles, and submission templates to send reports to the regulator.
24	High	72.0	RBI	45	Other capital... includes all other claims and liabilities at Nominal value... of Indian reporting entity with its DIE reported in 1.b ODI.	—	Establish automated or manual data queries, review cycles, and submission templates to send reports to the regulator.
25	High	72.0	RBI	45	Other capital... includes all other liabilities and claims at Nominal value... of Indian reporting entity with non-resident companies where Indian entity holds less than 10	—	Establish automated or manual data queries, review cycles, and submission templates to send reports to the regulator.
26	High	72.0	RBI	45	Compulsorily convertible debentures (CCD) issued by the entity should not be included in the paid-up capital while furnishing the information in Paid-up capital (in Section II of the FLA Return).	—	Establish automated or manual data queries, review cycles, and submission templates to send reports to the regulator.
27	High	72.0	RBI	45	if the CCDs / Debentures are held by the non-resident direct investor who is holding the equity shares of Indian reporting entity, then CCD / Debentures holding should be reported in 'other capital' component of 1.b FDI or 2.b DI (in Section III)	—	Establish automated or manual data queries, review cycles, and submission templates to send reports to the regulator.
28	High	72.0	RBI	45	Similar treatment should be considered while reporting the compulsory convertible preference shares also.	—	Establish automated or manual data queries, review cycles, and submission templates to send reports to the regulator.
29	High	72.0	RBI	45	While filling the FLA return, FDI reporting should be based on the country of immediate investor.	—	Establish automated or manual data queries, review cycles, and submission templates to send reports to the regulator.
30	High	72.0	RBI	45	if there are any receivables/payables with the non-resident ultimate holding entity, then same should also be reported at 'Other capital' component of 2.b DI under Section III.	—	Establish automated or manual data queries, review cycles, and submission templates to send reports to the regulator.

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31	High	72.0	RBI	45	Any domestic liabilities or assets (even if it is in foreign currency) should not be reported in the FLA return.	—	Establish automated or manual data queries, review cycles, and submission templates to send reports to the regulator.
32	High	72.0	RBI	45	Further, once the audited numbers are ready, the entity need to revise their data after taking RBI approval irrespective of any variation (amount/percentage) in the audited numbers.	—	Establish automated or manual data queries, review cycles, and submission templates to send reports to the regulator.
33	High	72.0	RBI	45	In the reporting year, if the entity balance sheet is as per Ind AS, then the FLA reporting is required as per the latest balance sheet only.	—	Establish automated or manual data queries, review cycles, and submission templates to send reports to the regulator.
34	High	72.0	RBI	45	If the CIN number of the reporting entity has changed after the reporting year (March 31), the entity needs to file FLA return with the old CIN for the reporting period.	—	Establish automated or manual data queries, review cycles, and submission templates to send reports to the regulator.
35	High	72.0	RBI	45	The entity needs to report the sales/earnings which is generated as part of the regular business activity/purpose only, i.e., revenue from operations.	—	Establish automated or manual data queries, review cycles, and submission templates to send reports to the regulator.
36	High	72.0	RBI	45	Please report the expenses/purchase which are done as part of regular business operations only in FLA return.	—	Establish automated or manual data queries, review cycles, and submission templates to send reports to the regulator.
37	High	72.0	RBI	45	The expenses incurred during the year only are to be reported, which are incurred for business operations. Pre-paid expense need not be included.	—	Establish automated or manual data queries, review cycles, and submission templates to send reports to the regulator.
38	High	72.0	RBI	45	The Sales and Purchases may be reported based on the income/expenditure incurred for conducting the regular business operations. Even if there is no trading, the primary income/expense is incurred. This need to be reported.	—	Establish automated or manual data queries, review cycles, and submission templates to send reports to the regulator.
39	High	72.0	RBI	45	Yes, the entity is required to file FLA return.	—	Establish automated or manual data queries, review cycles, and submission templates to send reports to the regulator.
40	High	72.0	RBI	45	Yes, FLA filing is applicable to the subsidiary.	—	Establish automated or manual data queries, review cycles, and submission templates to send reports to the regulator.
41	High	72.0	RBI	45	Yes, the entity A is required to file FLA return giving details of ODI.	—	Establish automated or manual data queries, review cycles, and submission templates to send reports to the regulator.
42	High	72.0	RBI	45	Also, entity B is required to file FLA with details of the investment (done by entity A) as FDI.	—	Establish automated or manual data queries, review cycles, and submission templates to send reports to the regulator.
43	High	62.0	RBI	45	Without approval, entities cannot file revised FLA return.	—	Amend Board and committee charter documents, appoint process owners, and update management training.

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44	Medium	52.0	RBI	45	The entity has to register on the portal by clicking Registration for New Entity Users.	—	Review internal SOPs, train operational staff, and update policy handbook to cover this obligation.
45	Medium	52.0	RBI	45	The entity has to fill the details in the FLA user registration form, upload the documents mentioned (Verification Letter and Authority Letter) and click submit to complete the registration.	—	Review internal SOPs, train operational staff, and update policy handbook to cover this obligation.
46	Medium	52.0	RBI	45	An AIF needs to register on the FLAIR portal.	—	Review internal SOPs, train operational staff, and update policy handbook to cover this obligation.
47	Medium	52.0	RBI	45	they need to send a mail to flareturn@rbi.org.in requesting for the latest format for filing of FLA Return for AIF after completing registration process on the portal.	—	Review internal SOPs, train operational staff, and update policy handbook to cover this obligation.
48	Medium	52.0	RBI	45	The enterprise must maintain at least one production establishment in the country and must plan to operate the establishment indefinitely or over a long period of time.	—	Review internal SOPs, train operational staff, and update policy handbook to cover this obligation.
49	Medium	52.0	RBI	45	Hence you need to send an account de-activation email to us at flareturn@rbi.orgin with the entity CIN and username mentioned.	—	Review internal SOPs, train operational staff, and update policy handbook to cover this obligation.